

get-rich-quick schemes of the lenders. The old banker's rationale was, "I will loan you some money and charge you a little bit of interest for the right to have this money now. You will pay me back in installments. You will be able to make your purchase, and have affordable payments. I will have helped you; you are able to repay me, and I will have made a profit on the money you pay me back. It is a win-win, and we are both happy."

The rosy glow of mutual respect has faded. The consumer lending industry rationale of this century goes a little more like this: "I will loan you some money. I will charge you as much interest as I possibly can. I will create fees so I can get more money out of you. I will set your monthly payments low, so you think I am doing you a favor, but I do so in order that you will keep paying me every month while I keep layering on the finance charges. Hmm, what other name can I think up for another fee? You used your credit once to get you through a rough patch, and I have you in my lasso for life. I like you. I like making money off of you. You make me very happy. I don't care what you think of me. The federal government is my friend and they let me do things my way. You should not complain. You should be grateful to me. I helped you out of the rough patch, remember?"

I envision a large, ugly Jabba the Hutt-type character delivering that soliloquy.

The New Math

It is not unrealistic for a person like me or you to expect that by paying our monthly payment, we should in effect be reducing the balance. It ought to be simple mathematics. A minus B equals C . C is my new balance. I do it again the next month, and now this is what I owe, something less than last month. Every month, what I owe should get smaller and smaller and smaller.

The credit lenders have their own math. This is what you owe, and this is what you need to pay, just 2% to 4 % of the entire balance. Throw in some fees every month and now what you owe is more than where you started. The equation looks like: $A - B + \text{FEE} + \text{FEE} + \text{FEE} = C$, and C is now greater than A . In my algebraic mind, C = an unreason-